HEYOKHA BROTHERS · DAILY MARKET INTELLIGENCE

Daily Need to Know

Friday, 14 August 2026 · pre-market brief · all times GMT+8 (HKT)

COVERING The Thursday 13 August US cash session as settled (16:00 ET = 04:00 GMT+8 this morning), the July PPI and jobless-claims prints that landed inside it, Applied Materials after the bell, and the overnight futures, FX, metals and crypto tape. Live marks were captured 06:05–06:35 GMT+8 Friday. No Asian cash market had opened when this brief was cut, so every Asian level below is Thursday's close carried forward and is marked as such; the overnight futures carry the forward information, and for a second consecutive session Japan is where it is loudest.

EDITION FULL — Hedgeye logged-in edition. app.hedgeye.com was reachable and the research was read in full: Thursday's Early Look *"Play The Hand You're Dealt"* (13 Aug, 07:17 ET), carrying the complete sixteen-line Risk Range table, plus the Chart of the Day title, the Macro Show and the Crypto Quant note. Section 4 is built from those. Two notes on scope. First, Thursday's Early Look was written not by Keith McCullough but by Brooks Cutright, Portfolio Manager of the ADDS product, and it is about compulsory flows and index events rather than the Quad rotation — the Quad content is a single line, and it is the important one: **September in #Quad1, October in #Quad2**. Second, the Chart of the Day, titled "Levered Market Structure With Crowding Into Momentum," sits above this account's subscription tier; only its title could be read, and section 4 treats it as a title and nothing more.

METHOD Index, sector and single-stock levels were cross-checked across independent sources before use; where they disagreed the official exchange-reported close was taken. Three disagreements were material enough to record. Several wire summaries carried the VIX as *−4.78% to 14.55* on Thursday; that is Wednesday's move repeated. The VIX in fact **rose** 0.55% to 14.63, and section 6 explains why the difference matters. The 10-year printed 4.641% on the CBOE index and 4.647% on the Tullett Prebon 17:00 ET curve; the tables use the Tullett curve throughout so that every point on the curve is struck at one time. And Nebius's Thursday close was reported anywhere between −1.6% and −14% across three outlets; the exchange print is −1.62% at $255.00. The primary quote feed normally used for this brief was again unavailable on plan grounds this morning, so all equity marks are sourced from public exchange-reported closes.

TL;DR

A record close nobody argued with, and a semiconductor tape that quietly disagreed. The S&P 500 rose 0.65% to 7,798.99 — a record close, and the day's high of 7,816.70 is now the 52-week high too. The Russell 2000 made it a second consecutive record at 3,052.85, the NYSE Composite and the S&P Midcap 400 both closed at fresh 52-week highs, and the equal-weight S&P finished at a 52-week high of its own. Eight of eleven sectors were green, with the three decliners led by materials. Every broad measure of the American equity market is now at or through its high. The exception is the one that led the market here: the SOX rose 0.46% but closed at 12,456.00 after trading 12,704.38, giving back 248 points off the high and finishing in the bottom fifth of its range — and it remains 15.0% below its own 52-week high while everything else prints records.

July PPI came in soft on the headline and hot underneath. Final demand was flat month-on-month against +0.2% expected and +4.7% year-on-year against +4.9%, down from 5.5%. Core ex food and energy was +0.2% against +0.3%. That is the number the tape traded. But the cut the Fed actually watches — ex food, energy and trade services — **accelerated to +0.4% from +0.1%**, and the single largest contributor was portfolio management prices at +6.5% month-on-month, which feeds directly into core PCE on 26 August. September hike odds fell to roughly 40% from about 54% a week ago. The front end took the soft headline at face value: the 2-year fell 5.2bp to 4.155% and the 5-year 6.2bp to 4.317%.

The long end still will not ratify it, and the curve steepened at both ends. The 30-year fell only 3bp to 5.216% while the 2-year fell 5.2bp and the 10-year 4.1bp. 2s10s widened to +49bp and 10s30s to +57bp — both fresh cycle highs, on a day the market repriced the Fed dovishly. Two soft inflation prints in two days have moved the front end and left the term premium exactly where it was.

The day's most elegant fact arrived after the bell, and it belonged to the Early Look. Hedgeye published a piece Thursday morning about compulsory flows and index-inclusion events — capital that *has* to move rather than capital that *wants* to. That same evening S&P Dow Jones Indices announced that Reddit will replace AvalonBay in the S&P 500 before Tuesday's open. Reddit rose 11% after hours on top of a 3.04% regular session. The thesis printed within twelve hours of publication.

Overnight, Japan again. Nikkei futures are 69,195 against a Thursday cash close of 68,308.59 — an implied gap of roughly 1.3% into Tokyo, the second consecutive session with a gap of that size. US futures are inert: ES +0.02%, NQ +0.03%, YM +0.02%, RTY −0.04%. Applied Materials beat and guided Q4 revenue to $10.25bn, above consensus, and fell about 5% after hours anyway. Retail sales and University of Michigan sentiment at 20:30 and 22:00 GMT+8 tonight are the day's binaries.

S&P 500	RUSSELL 2000	NASDAQ 100	US 10-YEAR	VIX
7,798.99	**3,052.85**	**30,084.50**	**4.647%**	**14.63**
▲ +0.65% · record	▲ +0.24% · record	▲ +1.15%	▼ −4 bp	▲ +0.55%

1 Market snapshot — Thursday 13 August, as settled

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED CLOSE, THU 13 AUG, 16:00 ET (04:00 GMT+8 FRI)			
S&P 500	7,798.99	▲ +50.49 / +0.65%	Record close, and the day's high of 7,816.70 is the 52-week high — the index made and held a new high in the same session. Ranged 7,763.18–7,816.70, a 53.52-point band, and closed 66.9% up it. Volume 2.685bn against 2.675bn Wednesday, up 0.4%. Sits 72% up Hedgeye's 7,576–7,884 Risk Range, with 85 points of headroom.
Nasdaq Composite	26,803.03	▲ +214.54 / +0.81%	Beat the S&P for a second straight session. Ranged 26,612.85–26,875.52 and closed 72.4% up range. Still 1.42% below the June record of 27,190.21 — the only major index in this table that is not at or within touching distance of its high besides the SOX.
Nasdaq 100	30,084.50	▲ +341.90 / +1.15%	Cleared 30,000 for the first time on a closing basis. Ranged 29,757.62–30,168.05 and closed 79.6% up range, the strongest finish on the board. 2.20% below the 52-week high of 30,762.20.
Dow Jones Industrial Avg	53,839.99	▲ +69.72 / +0.13%	The laggard, and the reason is a single name. The Dow traded 54,049.14 and gave back 209 points into the close, finishing 51.0% up range. Cisco at −8.31% is the largest drag in a price-weighted index and cost the Dow roughly 68 points on its own.
Russell 2000	3,052.85	▲ +7.36 / +0.24%	Second consecutive record close. The day's high of 3,065.84 is also the 52-week high. But note the shape — it closed only 30.8% up an 18.76-point range, the narrowest band in the table. Small caps made a record without conviction.
Philadelphia SOX	12,456.00	▲ +56.62 / +0.46%	The dissent. Traded 12,704.38 in the morning and closed 12,456.00 — 18.7% up range, giving back 248 of 306 points. And it sits 15.0% below its 52-week high of 14,655.29 on a day four other indices printed records. Applied Materials fell 2.48% into its own print. See section 7.
NYSE Composite	24,809.65	▲ +51.03 / +0.21%	Fresh 52-week high — the day's high of 24,865.81 is the 52-week high. Second consecutive session setting one. The broad tape keeps confirming.
S&P Midcap 400	3,914.43	▲ +15.44 / +0.40%	Also a fresh 52-week high, on the same pattern: the day's high of 3,918.70 is the 52-week high. Mid caps are now doing what small caps did on Wednesday.
Dow Transports	21,928.05	▲ +323.40 / +1.50%	The strongest major in the table. Closed 80.7% up range on a 2.5% fall in crude — the cost line did the work. Still 11.7% below its 52-week high of 24,825.70, so this is recovery, not a record.
Dow Utilities	1,109.59	▲ +5.66 / +0.51%	Fourth consecutive gain, confirming XLU at +0.46%. Bond proxies kept working on a day the front end and belly rallied.
US INDEX FUTURES — LIVE GLOBEX MARKS, 06:11 GMT+8 FRI			
ES (E-mini S&P, Sep 26)	7,824.25	▲ +1.75 / +0.02%	Inert. Basis to cash +25.26. The US tape has nothing to trade until retail sales.
NQ (Nasdaq 100, Sep 26)	30,197.75	▲ +9.25 / +0.03%	Holding the whole of Thursday's 1.15% cash gain overnight despite the Applied Materials drop after the bell. That is the more interesting of the two facts.
YM (Dow, Sep 26)	53,947	▲ +12 / +0.02%	Unchanged to a rounding error for a second consecutive night.
RTY (Russell 2000, Sep 26)	3,059.10	▼ -1.10 / -0.04%	The only future offered, and only barely. It is still above Thursday's record cash close, so the small-cap bid is intact.

ASSET	LAST	CHANGE	NOTE
NK (Nikkei 225, CME)	69,195	▼ -5 / -0.01%	Flat overnight — but at 69,195 against a 68,308.59 cash close it implies roughly a 1.3% gap into Tokyo. Second consecutive session with a gap of this size. See section 12.
US TREASURIES — TULLETT PREBON CURVE, 17:00 ET THU, CHANGE VS WED			
2-year	4.155%	▼ -5.2 bp	From 4.207%. The largest fall on the curve bar the 5-year. September hike odds fell to roughly 40% from about 54% a week ago.
5-year	4.317%	▼ -6.2 bp	The biggest move on the curve. The belly led the rally, which is what a soft producer-price print with a soft headline and no growth scare should produce.
10-year	4.647%	▼ -4.1 bp	Prints 4.641% on the CBOE index and 4.647% on the Tullett curve; the difference is a strike-time artefact. Sits at just 28% up Hedgeye's 4.61–4.74 Risk Range — the bottom third, and the lowest reading against its band in this brief's recent history.
30-year	5.216%	▼ -3.0 bp	The one that matters, again. It fell the least of any point on the curve on a day the front end rallied 5bp. Still within 6bp of its highest in nearly two decades.
2s10s spread	+49 bp	▲ +1 bp	New cycle high, from +48. Four sessions ago it was +46.
10s30s spread	+57 bp	▲ +1 bp	New cycle high, and the third consecutive widening. Both ends of the curve steepened on the same day — see section 3.
VOLATILITY			
VIX	14.63	▲ +0.08 / +0.55%	Rose on a record-high day, which is unusual and worth flagging: several wires reported it fell 4.78% to 14.55, but that is Wednesday's print. Ranged 14.39–14.80. At 19.8% up Hedgeye's bearish 14.06–16.94 band — still pressed near the floor.
VXN (Nasdaq vol)	21.23	▲ +0.26 / +1.24%	Rose more than the VIX on a day the Nasdaq 100 rose more than the S&P. Ratio to VIX 1.451, up from 1.442 — Nasdaq-specific risk pricing widened for the first time this week.

2 The big picture — what it means

Four record highs and one refusal. Thursday produced a record close in the S&P 500, a second consecutive record in the Russell 2000, fresh 52-week highs in the NYSE Composite and the S&P Midcap 400, and a 52-week high in the equal-weight S&P at 222.73. Eight of eleven sectors closed higher, and the three that did not were health care and industrials at four and five basis points and materials at −0.51%. On any conventional reading this was a broad, healthy, high-quality advance — precisely the broadening this brief has been describing for three sessions. And underneath it, the Philadelphia Semiconductor Index traded up 306 points, closed up 57, and finished in the bottom fifth of its daily range while sitting 15.0% below its own 52-week high. Every other major index is at or through its high. The one that led the market here is not, and on Thursday it declined to participate in the last four hours of a record-setting session.

That is not yet a top, and it should not be dressed up as one. A market that broadens away from its narrow leadership is, on the Quad framework and on most others, a healthier market than one that does not. The equal-weight index at a 52-week high while the cap-weighted index is at a record is a good outcome, not a warning. But the specific mechanics of Thursday deserve recording. The SOX made its high inside the first ninety minutes and sold for the rest of the day. Applied Materials, the largest semiconductor capital-equipment company in the world, fell 2.48% *into* a print that turned out to be a beat with raised guidance — and then fell about 5% more after hours on the beat. Cisco, which beat and raised its full-year outlook on Wednesday evening, fell 8.31% on Thursday on gross margin. Coherent, which beat on Wednesday, fell 7.7%. Three consecutive AI-infrastructure companies have now reported good numbers and been sold.

> **THE TENSION WORTH HOLDING**
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> The bull case and the bear case are currently reading the same data. Demand in AI infrastructure is not in question: Cisco raised FY27 revenue guidance to $72.2–73.4bn against roughly $68.7bn consensus and booked $9.3bn of AI infrastructure orders in FY26; Applied Materials guided Q4 revenue to $10.25bn and raised its 2026 equipment growth outlook above 30%; Lumentum guided next quarter up more than 130% year-on-year. What is in question is what that demand costs to serve. Cisco's non-GAAP gross margin fell to 66.3% from 68.4% on AI hardware mix and memory cost inflation. Coherent's FY26 operating cash

> flow fell 87% to $79.5m while capex rose 150% to $1.103bn.
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> The market is not disputing the revenue. It is repricing the margin and the capital intensity required to earn it. Memory is the mechanism — SanDisk rose 13.67%, Micron 4.23%, Western Digital 8.70% and SK hynix 5.92% on Thursday, and every dollar of that is a cost line for somebody buying memory. A sector where the input suppliers rally and the system integrators fall is a sector transferring economics upstream. That is a rotation within AI, not away from it, and it is why the SOX can be up on the day and still look like the weakest thing on the board.

The Early Look's thesis printed the same evening it was published. Brooks Cutright's Thursday Early Look argued that the market spends nearly all its attention on what investors *might* do and almost none on what enormous pools of capital *must* do — index rebalances, CTA reweights, leveraged-ETF resets, forced conversions, margin calls. He set up the 4 September S&P committee announcement as the cleanest available example, noting roughly $11 trillion indexed to the S&P 500 and roughly ten companies currently clearing every published admission threshold. Thursday evening, S&P Dow Jones Indices announced that Reddit will replace AvalonBay Communities in the index before Tuesday's open, AvalonBay having been acquired by Equity Residential. Reddit closed the regular session +3.04% at $158.12 and rose a further 11% after hours. It becomes only the second pure-play social media company in the index after Meta. An off-cycle addition driven by an M&A vacancy is not the September cycle Cutright was writing about — but it is the identical mechanism, and it repriced a $27bn company by double digits in an evening.

What Thursday did not settle. September is still genuinely live at roughly 40% for a hike. The Committee's own split has not moved: the July hold was 9–3 with three dissents for an immediate increase. Beth Hammack spoke Thursday and did not soften — "it's really critical we act now to bring inflation back to the target level," adding that she does not have confidence the soft prints continue. Thomas Barkin, from the other side, called it "still an open question" whether the Fed needs to raise at all, and noted headline PCE is still running near 3.7%. Two soft inflation prints in two days have not broken that deadlock; they have deferred it to retail sales tonight, the FOMC minutes on 19 August, core PCE on 26 August and Jackson Hole at the end of the month. The 30-year yield, down 3bp on the week's second soft print and still within 6bp of a two-decade high, is the market's vote on how much any of it has settled.

3 Rates, currencies & commodities

Rates. The curve did something on Thursday that it has not done in this cycle: it steepened at both ends simultaneously. The 2-year fell 5.2bp to 4.155% and the 5-year 6.2bp to 4.317% on the soft PPI headline. The 10-year fell 4.1bp to 4.647%. The 30-year fell only 3.0bp to 5.216%. Because the front fell more than the ten and the ten fell more than the thirty, 2s10s widened a basis point to +49 and 10s30s widened a basis point to +57 — both fresh cycle highs, in the same session, in opposite directions from the same rally. A rally that steepens the whole curve is a rally the market is only willing to apply to the near term. Note also that the 10-year now sits at just 28% up Hedgeye's 4.61–4.74 band, the bottom third, having spent Wednesday at 66% up a slightly wider one.

Dollar. The DXY closed 99.95, down 0.06%, inside a 99.80–100.08 range — a currency doing nothing on a day its own central bank was repriced dovishly for the second session running. That is the second consecutive session in which the dollar has declined to follow the rate story, and it is the more informative of the two facts. Euro 1.1534 and sterling 1.3489, both effectively unchanged. The kiwi was the weakest major at −0.17%. Dollar-yen is 159.50 and has given back all of the yen firmness noted in this brief twenty-four hours ago — which matters a great deal given what Nikkei futures are doing and what the Japanese government said on Thursday. Section 12 takes that up. The DXY at 99.95 sits 66% up Hedgeye's bearish 99.40–100.23 band: the short-dollar position is being tested for a second day.

Commodities. Crude was the day's largest macro move and it went the helpful way. WTI settled $81.21, down $2.06 or 2.47%, and Brent $87.07, down about 2.1%. The driver was forecast rather than fact: the IEA cut its 2026 global oil demand outlook, now seeing demand contracting 1.6 mb/d on the wider fallout from the Middle East conflict. A crude market falling because demand is being marked down is not the same thing as a crude market falling because supply has returned, and section 11 keeps the two apart. Precious metals were sold hard — gold spot fell about 1.3% to roughly $4,350 and GLD 1.47%, dragging the London miners with it and taking 60 basis points out of the FTSE.

INSTRUMENT	LAST	CHANGE	NOTE
CURRENCIES — LIVE MARKS, 06:11 GMT+8 FRI (CHANGE VS THU 17:00 ET)			
DXY (Dollar Index)	99.95	▼ -0.07 / -0.06%	Ranged 99.80–100.08 and went nowhere on a dovish repricing. At 66% up Hedgeye's bearish 99.40–100.23 band — 28 cents inside the top.
EUR/USD	1.1534	▲ +0.06%	The mirror of the dollar and nothing more. Second consecutive session inside a 20-pip band.
USD/JPY	159.4980	▲ +0.06%	The yen has surrendered the overnight firmness it showed twenty-four hours ago and is back at 159.50 — into a government that said on Thursday it supports a faster BOJ hike, and into a 1.3% implied Nikkei gap. That combination is the single most interesting thing on this page.
GBP/USD	1.3489	▼ -0.05%	Unchanged for a third session, despite a UK Q2 GDP print of +0.4% q/q that landed exactly on forecast.
AUD/USD	0.7063	▼ -0.01%	Flat despite a 0.51% fall in copper and a heavy session for the Australian miners.
NZD/USD	0.5852	▼ -0.17%	Weakest G10 major for a second consecutive session.
USD/CNY	6.7423	▲ +0.09%	Sits within a tenth of a percent of the strongest yuan of the past year (6.74 is the 52-week low in the pair).
USD/RUB	83.8110	▲ +1.36%	The largest move in the currency table by a distance, on reports Moscow is ready to host US envoys for a further round of Ukraine talks. Treat the sourcing with care — see section 11.
ENERGY — THU 13 AUG SETTLE, AND LIVE MARKS 06:11 GMT+8 FRI			
WTI crude	$81.21	▼ -$2.06 / -2.47%	The largest single-day fall in a fortnight, on the IEA demand downgrade rather than any supply return. Live $81.08. At 69% up Hedgeye's bearish 73.54–84.67 band — note that band was cut sharply lower on Thursday morning from 75.23–86.86.
Brent crude	$87.07	▼ -2.1%	Live $86.89. Still roughly 24% above pre-war levels. The EIA's 11 August outlook has Brent averaging $86.81 for 2026 and about $69 for 2027, with roughly 0.6 mb/d of disruption persisting through the end of next year.
Natural gas	$2.727	▼ -2.3%	Live $2.733, up 0.22% overnight. At 54% up range inside a band Hedgeye marks bearish, 2.57–2.86.
METALS — GOLD AND SILVER ARE THU 13 AUG SPOT; COPPER, PLATINUM AND PALLADIUM ARE LIVE MARKS			
Gold (spot)	~$4,350	▼ -1.29%	A hard reversal of Wednesday's gain. December futures $4,411.00 this morning. At 45% up Hedgeye's bullish 4,189–4,545 band — below the midpoint for the first time this week, having been 63% up range on Wednesday.
Silver	$65.00	▼ -0.4%	Live September futures 64.64. Note Hedgeye moved silver from BULLISH to NEUTRAL on Thursday and widened the band down to 58–68; at 65.00 that is 70% up range. The signal changed, not the price.
Copper	$6.59	▼ -0.35%	Live mark, from a $6.61 close. At 53% up a bullish 6.40–6.80 band. Antofagasta fell 6.78% in London and Rio Tinto 4.72% — the equity read on copper was far uglier than the metal.
Platinum	$1,721.70	▼ -0.61%	Live mark. Down a further 2.2% from Wednesday's $1,760.50 — the weakest of the precious complex for a second session.
Palladium	$1,308.00	▼ -1.35%	The largest fall in the metals table overnight.
CRYPTO — LIVE MARKS, 06:22 GMT+8 FRI			
Bitcoin	$63,528	▲ +0.26%	Ranged 62,920–63,890 overnight. Sits 49.7% below the 52-week high of $126,198 — a halving of the asset over twelve months, against an S&P 500 at a record. Hedgeye's Crypto Quant headline: "Spot Stalemate, ETF Trickle & Seller (almost) Exhaustion."
Ethereum	$1,889	▲ +0.68%	61.9% below its 52-week high of $4,954, and underperforming bitcoin over the drawdown. The digital-asset complex is the one major risk asset that has comprehensively not participated in 2026.

4 Hedgeye — regime, Risk Ranges & the Quad path

THE REGIME: #QUAD1 NOW, #QUAD2 IN OCTOBER

Thursday's Early Look was written by Brooks Cutright, Portfolio Manager of the ADDS product, not by

> Keith McCullough, and it is a piece about compulsory flows rather than a Quad note. The Quad content is one sentence, and it is the sentence that matters for positioning: “The monthly model has September in Quad 1 and October in Quad 2: two risk-on regimes back to back.” #Quad1 is growth accelerating with inflation cooling; #Quad2 keeps the tape warm into October even as inflation firms.
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> That is a meaningful extension of the call this brief recorded twenty-four hours ago. Wednesday’s move was #Quad3 to #Quad1 — a regime change. Thursday’s addition is duration: the model now sees the risk-on window running two months rather than one, with the character of it shifting from disinflationary broadening in September to reflationary firmness in October. Cutright’s framing is that this is “the kind of setup where you book the airfare and rent the house” — while noting the qualifier that Trend still has to confirm it.
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> The hierarchy he sets out is worth recording because it is how the rest of this section should be read: the Quads are the forecast, Trend is the current condition, and compulsory flows are the forced execution. His claim is that the strongest opportunities appear when all three align, and that the market systematically underprices the third because it is less interesting than arguing about the Fed.

The compulsory-flow thesis, and why Thursday evening mattered. Cutright’s argument is that roughly $11 trillion is indexed to the S&P 500 and that when the committee adds a company, that tracking capital has to adjust by the effective date regardless of any portfolio manager’s view. The opportunity, on his account, comes from lag: committee membership trails its own published criteria, and on Hedgeye’s screens roughly 3% of every S&P 500 dollar currently sits in approximately 125 companies too small to be admitted under today’s rules. He flags roughly ten companies clearing every published admission threshold ahead of the scheduled 4 September announcement, calls the committee’s discretion the uncertain half and the mechanical repricing the certain half, and declines to predict which names get tapped.

Hours after publication, S&P Dow Jones Indices announced that Reddit will replace AvalonBay Communities in the S&P 500 before the open on Tuesday 18 August, AvalonBay having been acquired by Equity Residential. Reddit closed +3.04% at $158.12 and rose a further 11% after hours. This was not the September cycle Cutright was writing about — it is an off-cycle replacement created by an M&A vacancy rather than a discretionary upgrade — but the mechanism is identical, and it is a live demonstration of the thesis inside twelve hours. For a desk, the practical read is that the 4 September announcement is now a dated, tradeable event with a published rulebook, and that the market has just shown how it reprices one.

On the Chart of the Day. Thursday’s was titled *“Levered Market Structure With Crowding Into Momentum.”* That chart sits above this account’s subscription tier and could not be read, so nothing is asserted here about its contents. The title is recorded because it is the second consecutive day on which Hedgeye’s chart has addressed market structure rather than a macro variable — Wednesday’s was “Cap Weighted ≠ Diversified” — and because a house that has just moved to two consecutive risk-on Quads is simultaneously publishing on leverage and momentum crowding. Those two things are not contradictory, but a reader should hold them together rather than take the Quad call alone.

RISK RANGES — PUBLISHED 13 AUG PRE-MARKET OFF WEDNESDAY’S CLOSE, MARKED AGAINST THURSDAY’S ACTUAL SETTLES

INSTRUMENT	RISK RANGE	SIGNAL	SETTLE	POSITION IN RANGE
RATES & CREDIT				
US 10-year yield	4.61 – 4.74	BULLISH	4.647%	28% · bottom third; the band was narrowed from 4.57–4.75
High Yield · HYG	79.19 – 79.81	BULLISH	**79.79**	**97% · two cents off the top of the band — credit is the most extended long on this page**
Inv. Grade · LQD	105.5 – 107.0	BEARISH	106.55	70% · above midpoint and rising, against the signal
US EQUITIES				
S&P 500	7,576 – 7,884	BULLISH	7,798.99	72% · record close with 85 points of headroom to the top
Nasdaq Composite	25,533 – 27,120	BULLISH	26,803.03	80% · upper fifth
Russell 2000	2,980 – 3,083	BULLISH	3,052.85	71% · record close, 30 points below the top
Equal Weight · RSP	217.00 – 224.00	BULLISH	222.73	82% · 52-week high; the most extended equity long in the table

INSTRUMENT	RISK RANGE	SIGNAL	SETTLE	POSITION IN RANGE
Health Care · XLV	163 – 171	BULLISH	168.38	67% · band lifted a point; the position eased from 80%
Real Estate · XLRE	44.00 – 45.75	BULLISH	45.12	64% · from 28% on Wednesday — the largest single-day improvement in the table
VOLATILITY & FX				
Volatility · VIX	14.06 – 16.94	BEARISH	14.63	20% · band lowered; still pressed near the floor
US Dollar · DXY	99.40 – 100.23	BEARISH	99.95	66% · second day above the midpoint against a bearish signal
COMMODITIES				
WTI Crude	73.54 – 84.67	BEARISH	$81.21	69% · the band was cut sharply lower, from 75.23–86.86
Natural Gas	2.57 – 2.86	BEARISH	$2.727	54% · mid-band, unchanged band
Gold	4,189 – 4,545	BULLISH	~$4,350	45% · below midpoint for the first time this week, from 63%
Copper	6.40 – 6.80	BULLISH	$6.61	53% · band floor cut four cents; position improved from 44%
Silver	58 – 68	NEUTRAL	**$65.00**	**70% · signal cut from BULLISH and the floor dropped three dollars — the only signal change on the board**

What changed in the bands, and what it says. Three moves are worth recording. Silver was cut from BULLISH to NEUTRAL and its floor dropped from 61 to 58 — the only signal change in the table, and it came on a day precious metals were sold hard. WTI's band was cut sharply, from 75.23–86.86 to 73.54–84.67, a $2.19 reduction at the bottom and a $2.19 reduction at the top, which is the model marking to the IEA demand downgrade. And the 10-year band was narrowed from 4.57–4.75 to 4.61–4.74, tightening the expected range on the single instrument this brief has flagged as the live tension for three sessions. Against all of that, HYG at 97% up its band is the loudest single number on the page: credit is not merely participating, it is pressed against the top of its expected range. On the Quad framework that is confirmation. It is also, on any framework, the thing to watch first if the tape turns.

5 Mega-cap scoreboard — the eight largest, Thursday 13 August close

The exact inverse of Wednesday. Twenty-four hours ago seven of the eight largest US companies closed lower and the index rose anyway. On Thursday seven of the eight closed higher and the index rose again. The two sessions produced the same index outcome by opposite routes, which is worth pausing on: a market that can advance both when its mega-caps lead and when they lag is a market with genuine breadth underneath it. Meta at +2.80% and Tesla at +3.80% did the heavy lifting; Amazon was the sole decliner.

COMPANY	CLOSE	CHANGE	NOTE
Meta	$594.97	▲ +2.80%	The best of the eight, and the one with the most litigation on its desk. Jury selection in the state attorneys-general youth-harm trial began Wednesday in Oakland, with opening statements due 18 August and roughly seven weeks of trial to follow. Meta booked $2.4bn of legal-proceeding charges in Q2. The stock rose 2.8% anyway — see section 13.
Tesla	$339.96	▲ +3.80%	The largest percentage gain of the eight. No company-specific catalyst surfaced; this reads as beta to a risk-on tape plus the same small-cap and high-beta bid that took the Russell to a record.
Apple	$305.26	▲ +1.00%	Market cap $4.455tn on 38.5m shares. Third consecutive gain. Recovered the 0.87% it lost on Wednesday and then some.
Microsoft	$496.88	▲ +0.90%	Recovered less than half of Wednesday's 2.26% fall. Separately, Reuters reported Thursday that Microsoft has closed or withdrawn from at least fifteen branches and joint ventures in China, where its share of worldwide revenue had fallen to roughly 1.5% by 2024.
Nvidia	$225.26	▲ +0.52%	Market cap $5.456tn on 81.7m shares — light volume against a 149m three-month average. A modest gain after Wednesday's 3.03%. The $500bn third-party financing platform announced on 10 August continues to draw attention: Nvidia's five-year CDS has widened the most in two weeks. See section 13 for what that structure actually is.

COMPANY	CLOSE	CHANGE	NOTE
Alphabet	$343.94	▲ **+0.46%**	A second consecutive session of not going down. Hedgeye's bearish TRADE and TREND case on the name, flagged in Wednesday's Early Look, has now gone two sessions without confirmation.
Broadcom	$417.82	▲ **+0.43%**	The weakest gainer of the seven, on a day the SOX faded 248 points off its high. Consistent with the semiconductor picture in section 7 rather than with the mega-cap picture here.
Amazon	$265.13	▼ **-0.80%**	The sole decliner, on an intensifying legal dispute over AI training data. The only one of the eight to fall on both Wednesday and Thursday.

6 Positioning & options

A volatility index that rose into a record high. The VIX closed 14.63, up 0.55%, on a session in which the S&P 500 set a record close and four other indices printed 52-week highs. That combination is uncommon and it is the reason this section leads with it. It is also the figure most widely misreported on Thursday: several wire summaries carried the VIX at 14.55, down 4.78%, which is Wednesday's print reprinted. The VXN rose further, up 1.24% to 21.23, taking the VXN/VIX ratio to 1.451 from 1.442 — Nasdaq-specific risk pricing widened for the first time this week, on a day the Nasdaq 100 outperformed. Both moves are small in absolute terms. Neither is a warning on its own. But hedges being bid into a record is a different tape from hedges being sold into one, and it is consistent with the intraday shape of the SOX.

Credit is the cleanest confirmation on the board — and the most extended. HYG closed 79.79, up 0.23%, two cents below the top of Hedgeye's 79.19–79.81 band, at 97% up range. High yield is not merely going along with the equity move, it is pressed against the ceiling of its expected range. Investment grade did something more awkward: LQD rose 0.41% to 106.55, which is 70% up a band Hedgeye marks BEARISH. Both credit instruments are therefore stronger than the model expects, one dramatically so. For a desk running the Quad framework this is confirmation of #Quad1. For a desk running risk, HYG at 97% is the first thing to watch, because an instrument at the top of its band has no room to absorb a surprise.

> **THE OPTIONS MARKET GOT APPLIED MATERIALS WRONG IN A SPECIFIC WAY**
>
> Options into the Applied Materials print had an implied move of roughly 11%, against an average of about 6% over the prior four quarters — the market was positioned for a very large move in either direction. What arrived was a beat on both lines, record revenue of $9.12bn up 24.8% year-on-year, record GAAP operating income of $3.08bn, semiconductor systems operating margin up to 38.0% from 33.2%, and fourth-quarter revenue guided to $10.25bn, above consensus. The stock fell roughly 5% after hours, having already fallen 2.48% into the print.
>
> So the direction was wrong for anyone long the beat, and the magnitude was roughly half what was priced. The interesting part is the pattern rather than the single name: this is the third consecutive AI-infrastructure company to report good numbers and be sold — Cisco fell 8.31% on Thursday after beating and raising, Coherent fell 7.7% after beating on Wednesday. When a sector sells good news three times running, the marginal buyer has usually already bought.

Disclosed positioning. Michael Burry's 13F, disclosed Wednesday, added QQQ puts and increased a short in Micron, alongside existing shorts in Nebius, Oracle and the SOXX semiconductor ETF, and increased longs in MercadoLibre and Zoetis. Micron rose 4.23% on Thursday and the SOX rose 0.46%, so the disclosed positions did not work on the day — but the shape of the book is worth recording because it is a coherent expression of the same thesis section 2 describes: short the capital-intensive semiconductor complex and the index that is crowded into it. Note also that Hedgeye's Chart of the Day on Thursday was titled "Levered Market Structure With Crowding Into Momentum." Two independent sources are pointing at leverage and momentum crowding in the same week the model went risk-on for two months. Hold both.

Basis and the overnight book. ES front-month sits at 7,824.25 against a 7,798.99 cash close, a +25.26 basis. Nikkei futures at 69,195 against a 68,308.59 Tokyo cash close imply roughly a 1.3% gap. Neither number moved materially overnight — the ES ranged fractionally and NK moved five points on 29 contracts — which tells you the overnight session transacted almost nothing and that Friday's positioning will be set by the 20:30 GMT+8 retail sales print rather than by anything already in the book.

7 Sector rotation — leaders & laggards

Eight of eleven green, led by the sector everybody had written off. Communication services rose 2.07%, more than twice the next best sector, on Meta at +2.80% and Netflix at +5.42%. Real estate came second at +1.42%, extending the recovery that took it from the bottom of its Risk Range to 64% up it in two sessions. Staples at +1.08% finished third, which is the mildly discordant note in an otherwise risk-on tape. Technology at +1.01% was fourth despite the semiconductor fade, because the software and hardware components carried it. Materials was the only meaningful decliner at −0.51%, and that was gold and copper: the metals complex was sold hard on both sides of the Atlantic.

SECTOR (SPDR)	CLOSE	CHANGE	NOTE
Communication Svcs · XLC	112.55	▲ +2.07%	Best sector by a distance, and the day's high of 112.61 is within six cents of the close. Meta +2.80%, Netflix +5.42%. Still 6.5% below its 52-week high of 120.41 — this is recovery, not a new high.
Real Estate · XLRE	45.12	▲ +1.42%	Second consecutive strong session. Was the worst sector on Tuesday and second best on both Wednesday and Thursday. A falling 2-year and 5-year is doing exactly what it should to this sector.
Consumer Staples · XLP	86.00	▲ +1.08%	Third best, which does not belong in a risk-on tape and is worth flagging. Keurig Dr Pepper rose 5.28%. A defensive sector in the top three on a record-high day is a small piece of counter-evidence.
Technology · XLK	190.77	▲ +1.01%	Carried by software and hardware rather than semis — the SOX gave back 248 points off its high in the same session. 4.0% below its 52-week high of 198.73.
Financials · XLF	58.26	▲ +0.59%	Closed 58.26 against a 52-week high of 58.41 — within 0.3% of its high, and the day's high of 58.31 was the second highest print of the year.
Consumer Discret. · XLY	118.45	▲ +0.48%	Modest, and notable for what is coming: retail sales at 20:30 GMT+8 tonight is this sector's binary. 5.2% below its 52-week high.
Utilities · XLU	44.04	▲ +0.46%	Fourth consecutive gain, confirming the Dow Utilities at +0.51%. Bond proxies working alongside real estate on the front-end rally.
Energy · XLE	61.06	▲ +0.05%	Effectively flat on a 2.47% fall in WTI, which is a strong relative performance and says the equity market is not marking energy to the IEA demand downgrade.
Health Care · XLV	168.38	▼ -0.04%	Fractionally lower after touching 169.71, which is also its 52-week high. Sits 67% up Hedgeye's 163–171 band, eased from 80% as the band was lifted.
Industrials · XLI	185.79	▼ -0.05%	Flat, despite the Dow Transports rising 1.50%. The transport strength did not generalise.
Materials · XLB	52.31	▼ -0.51%	The worst sector, and the cleanest single-driver story on the page: gold spot −1.3%, copper −0.35%, and in London Antofagasta −6.78%, Fresnillo −5.07%, Rio Tinto −4.72%, Anglo American −3.5%.
BREADTH & STYLE BENCHMARKS			
Equal Weight S&P · RSP	222.73	▲ +0.75%	52-week high — the day's high of 222.91 is the 52-week high. Outperformed SPY by 5bp. The equal-weight index at a high alongside the cap-weighted index at a record is the strongest breadth signal available.
S&P 500 · SPY	777.88	▲ +0.70%	Day's high 779.37 is the 52-week high.
Nasdaq 100 · QQQ	732.07	▲ +1.16%	Best of the three broad ETFs. 2.2% below its 52-week high of 748.65.
Russell 2000 · IWM	303.50	▲ +0.26%	Day's high 305.05 is the 52-week high. Lagged the equal-weight index, which is a change from Wednesday.

8 Forward — overnight futures & the week ahead

The overnight tape did nothing, and that is the point. ES +0.02%, NQ +0.03%, YM +0.02%, RTY −0.04%. Four contracts, twelve basis points of aggregate movement. The Nasdaq future is the one worth noting: at 30,197.75 it is holding the entirety of Thursday's 1.15% cash gain despite Applied Materials falling about 5% after the bell, which suggests the AMAT reaction is being read as company- or sector-specific rather than as a read-through to the index. Against that stillness, Nikkei futures at 69,195 imply a 1.3% gap into Tokyo. For the second consecutive session, essentially all of the overnight information is in Japan.

THE DAY AHEAD — FRIDAY 14 AUGUST, ALL TIMES GMT+8

TIME	EVENT	CONSENSUS / PRIOR	WHY IT MATTERS
08:00	**Japan cash open**	Nikkei futures 69,195 vs 68,308.59 cash close	A ~1.3% implied gap. The single largest scheduled repricing on the calendar.
09:30	China, Hong Kong cash open	Shanghai −0.50%, Hang Seng −0.17% Thursday	China was the only major region red on Thursday. Whether it follows the semiconductor bid or its own domestic tape is the question.
20:30	**US July advance retail sales**	+0.3% m/m est · +0.2% prior	The day's primary binary. Ex-autos +0.2% est against −0.2% prior. Consumer discretionary and the small-cap record both key off this.
22:00	U. Michigan sentiment, August preliminary	54.1 est · 55.2 prior	Watch the 1-year inflation expectation, seen unchanged at 4.2%. A move up there undoes two days of soft inflation prints.
22:00	US June business inventories	+0.3% prior	Second tier. Consensus not reliably established.

THE WEEK BEYOND

DATE	EVENT	DETAIL	WHY IT MATTERS
Mon 17 Aug	Ulchi Freedom Shield 26 begins	10-day US–South Korea exercise, ~18,000 South Korean troops	Runs to 27 August. Personnel from eleven other UN Command states. North Korea has launched ballistic missiles on 6 and 12 August.
Tue 18 Aug	**Reddit joins the S&P 500**	Replaces AvalonBay before the open	The compulsory-flow event described in section 4. Also: opening statements in the Meta youth-harm trial.
Tue 18 Aug	US industrial production & capacity utilisation	09:15 ET · Fed G.17	Note this is Tuesday, not Friday — several retail calendars have it wrong. Import and export price indices the same morning.
Wed 19 Aug	**FOMC minutes**	02:00 GMT+8 Thu	The 9–3 July hold with three dissents for an immediate hike. The minutes are the first look at how close that was.
Wed 19 Aug	US–Canada tariff deadline	Negotiations daily in Washington	Ottawa said Wednesday it is not satisfied with the latest US offer. Reported scope varies between roughly $20bn and $28bn of Canadian imports.
Thu 20 Aug	Walmart, Alibaba, Deere report	Deere FQ3	Walmart is the read on the same consumer that Friday's retail sales print measures.
Wed 26 Aug	**US core PCE**	20:30 GMT+8	The Fed's actual target, and the release where July's +6.5% portfolio-management PPI component lands. The most important number of the month.
Fri 28 Aug	Jackson Hole keynote	Reported date	Chair Warsh has offered no forward guidance and did not speak this week.
Fri 4 Sep	S&P 500 index committee announcement	Evening, US time	The event Thursday's Early Look was built around. Roughly ten companies clear every published admission threshold on Hedgeye's screens.
Wed 16 Sep	FOMC decision	Target range currently 3.50–3.75%	Roughly 40% priced for a 25bp hike, down from about 54% a week ago.

9 Corporate news

The day's theme was capital changing hands rather than earnings. Thursday produced an all-cash take-private at a 43% premium, a Reuters report of talks to buy a $43bn software company, a preparation-for-sale filing on a metal packaging business, two mid-size AI acquisitions and an index inclusion — alongside an earnings tape that punished three consecutive AI-infrastructure beats. When strategic and financial buyers are this active while public-market buyers are selling good results, the two are usually related.

COMPANY	CLOSE	CHANGE	WHAT HAPPENED
THE PRINT THAT MATTERED — AFTER THE BELL			
Applied Materials	$534.54	▼ -2.48%	FQ3 reported 16:03 ET. Revenue $9.12bn, +24.8% y/y, a record, against roughly $9.00bn expected. Non-GAAP EPS $3.50 against $3.39 — a fifth consecutive beat. Record GAAP operating income $3.08bn at 33.7% of revenue. Semiconductor Systems non-GAAP operating margin 38.0%, up from 33.2%, with orders accelerating across DRAM, leading-edge foundry and advanced packaging. China revenue share fell to 28% from 35%. Q4 revenue guided to $10.25bn, above consensus; 2026 equipment growth outlook raised above 30%. The stock fell roughly 5% after hours to about $508, having already fallen 2.48% into the print. Options had priced an ~11% move.
M&A AND CORPORATE ACTION			
Accelerant	$19.51	▲ +43.35%	Thoma Bravo to acquire, all cash, valuing the business above $4bn. The largest single-session move on the US tape.
Workday	$206.45	▲ +17.78%	Reuters exclusive: Silver Lake in talks to acquire, on a roughly $43bn market value. Would rank among the largest software buyouts ever. Talks are ongoing with no certainty of a deal. The stock had been down about 15% year-to-date and more than 40% below its 2024 peak before the report.
Reddit	$158.12	▲ +3.04%	S&P Dow Jones Indices announced after the close that Reddit replaces AvalonBay Communities in the S&P 500 before Tuesday's open. Rose a further 11% after hours. Becomes only the second pure-play social media company in the index after Meta. See section 4.
Ardagh Metal Pack.	—	— +11.2% pre-mkt	Ardagh Holdings filed a 13D amendment: advisers instructed to prepare for a potential sale, possibly including buying in the shares it does not own in order to sell 100%. Evercore financial adviser, Kirkland & Ellis lead legal.
Dynatrace	—	— n/a	To acquire Arize for approximately $915m.
Sangamo	—	— n/a	PTC Therapeutics to acquire the ST-920 Fabry gene therapy: $111m upfront plus up to $100m in milestones. Rolling BLA completion expected Q4 2026.
EARNINGS — THE AI-INFRASTRUCTURE TAPE			
Cisco	$113.58	▼ -8.31%	Sold hard the day after a beat and a large raise. FQ4 adj EPS $1.22 against $1.17; revenue $17.25bn, +17.6%, against $16.83bn. FY27 revenue guided to $72.2–73.4bn against roughly $68.7bn consensus, including $7.5bn of AI infrastructure revenue; $4.0bn of AI infrastructure orders in Q4 and $9.3bn for FY26. The problem was margin: non-GAAP gross margin fell to 66.3% from 68.4% on AI hardware mix and memory cost inflation. Cost the Dow roughly 68 points.
Cerebras	—	▼ -11.85%	Second day of damage after Wednesday's print. GAAP revenue $180.1m missed $193.6m, though core revenue of $209.9m beat at +103% y/y. Adjusted loss $2.98 a share against $0.18 expected. FY26 core revenue guidance raised to $880–890m. Analysts largely stayed positive.
Coherent	$328.25	▼ -7.70%	Also sold after a Wednesday beat. FQ4 adj EPS $1.74 against $1.61, revenue $2.05bn against $1.99bn, datacom segment $1.615bn at +59%. The sore spot is in the 8-K: FY26 operating cash flow $79.5m, down 87.5%, against capex of $1.103bn, up 150.2%.
SanDisk	$1,528.11	▲ +13.67%	Investor Day long-term model: mid-to-high-teens revenue growth FY28–FY30, roughly 80% non-GAAP gross margin, roughly 75% non-GAAP operating margin, roughly 50% adjusted FCF margin, and 100% of excess cash returned. Anchored on agreements with eight customers covering about half of bits in FY2027 and two-thirds in FY2028. Up 466% year-to-date.
Memory complex	—	▲ +4% to +9%	Western Digital +8.70%, SK hynix ADS +8%, Micron +6.81% (+4.23% on the Yahoo print), Lam Research +5.18%, Seagate +4.74%, Teradyne +4.77%. Every one of those gains is a cost line for somebody assembling AI systems.
Nebius	$255.00	▼ -1.62%	Recorded because three outlets published three different numbers for this close, from −1.6% to −14%. The exchange print is −1.62% at $255.00. Michael Burry disclosed an increased short on Wednesday.

COMPANY	CLOSE	CHANGE	WHAT HAPPENED
CoreWeave	$106.29	▼ -1.34%	Gave back a sliver of Wednesday's 19.7%. Traded $117.49 intraday and reversed to $105.84 — a wide, weak-closing range, the same shape as the SOX.
Super Micro	$39.16	▲ +4.12%	Extended Wednesday's 20.5% on record backlog. Dell and HPE also higher.
EARNINGS — THE REST			
Cellebrite	$10.80	▼ -29.18%	The day's worst large decliner. Q2 adjusted EPS $0.11 beat $0.07 but revenue missed at $131.1m against $131.9m; FY26 ARR guidance cut to $550–560m, growth of 14–16%. CEO change effective immediately — Shiven Ramji replaces Thomas Hogan.
Resideo	$20.46	▼ -20.42%	Second worst. The specific driver was not independently established and is not asserted here.
Liftoff Mobile	$20.06	▼ -20.59%	Driver not established.
Tapestry	$128.39	▼ -16.49%	FQ4 beat on both lines — EPS $1.32 against $1.28, revenue $1.88bn against $1.87bn — and the FY27 revenue guide of $8.4–8.5bn came in below the $8.47bn consensus at the midpoint. Sold on guidance.
Bending Spoons	$40.92	▼ -16.46%	Driver not established.
StubHub	—	▼ -10.07%	Q2 revenue beat at $573.1m against $521.9m; EPS $0.00 against $0.11 expected. FY26 adjusted EBITDA of $400–420m maintained.
Birkenstock	—	▲ +11% to +16%	FQ3 sales €719.5m beat; adjusted EPS €0.74 missed €0.76. Raised FY constant-currency sales growth to 15% from a 13–15% range, with a roughly 70bp tariff hit to FY26 margins.
Maersk	—	▲ +8.30%	Q2 EBITDA $3.0bn against $2.12bn expected. Raised full-year underlying EBITDA to $10.5–12.5bn from $8–10bn — the second raise this year — as the Middle East conflict and strong demand pushed freight rates higher. The cleanest listed expression of the Hormuz disruption.
JD.com	—	▲ ~-8%	Beat on both lines but posted its first quarterly revenue decline since listing in 2014.
Netflix	$78.24	▲ +5.42%	The single largest contributor after Meta to communication services being the day's best sector.

10 Macro data

Two prints, both soft on the surface, one hot underneath. July PPI undershot on every headline measure — flat month-on-month against +0.2% expected, +4.7% year-on-year against +4.9% and down from 5.5%, core +0.2% against +0.3%. That is what the tape traded, and September hike odds fell to roughly 40% from about 54% a week ago. But the cut the Committee actually watches, ex food, energy and trade services, accelerated to +0.4% from +0.1%, and the largest single contributor was portfolio management prices at +6.5% month-on-month — a direct core PCE input. Jobless claims rose to 209,000 against 202,000 expected, which is noise at these levels, while continuing claims fell to 1,777,000 against 1,794,000 expected. Neither number changes the labour picture.

RELEASE	ACTUAL	CONSENSUS	DETAIL
THURSDAY 13 AUGUST — US JULY PPI (20:30 GMT+8)			
PPI final demand, m/m	**0.0%**	+0.2%	From −0.1% in June, itself revised from −0.3%. The undershoot was energy: final demand goods −0.7%, energy −3.1%, gasoline −5.7%.
PPI final demand, y/y	+4.7%	+4.9%	Down from +5.5%. Note this sits 1.3 percentage points above CPI at 3.4% — a spread that signals continued margin compression at the corporate level.
Core PPI ex food & energy, m/m	+0.2%	+0.3%	From +0.4% revised.
Core PPI ex food & energy, y/y	+4.2%	+4.2%	In line. Down from +4.7%.
Ex food, energy & trade svcs, m/m	**+0.4%**	—	Quadrupled from +0.1% in June. Portfolio management prices +6.5% m/m was the largest contributor to the services increase, and it feeds directly into core PCE on 26 August. This is the number that does not fit the dovish headline.

RELEASE	ACTUAL	CONSENSUS	DETAIL
Internals	—	—	Final demand services +0.2%; services less trade, transport and warehousing +0.6%; transportation and warehousing −1.8%; trade services −0.1%; construction +2.2%; truck freight −1.8%.
THURSDAY 13 AUGUST — US JOBLESS CLAIMS (20:30 GMT+8)			
Initial claims, w/e 8 Aug	209,000	202,000	From 200,000, revised up from 199,000. Four-week average unchanged at 199,000. Non-seasonally adjusted 186,909 against 199,390 the same week last year.
Continuing claims, w/e 1 Aug	1,777,000	1,794,000	Down 22,000, from 1,799,000 revised down. Four-week average 1,785,500. Insured unemployment rate 1.2%, unchanged. Total continued weeks across all programmes 1,860,413 against 2,032,078 a year ago.
CONTEXT — WEDNESDAY 12 AUGUST, US JULY CPI			
Headline CPI	+0.1% m/m · +3.4% y/y	in line	From 3.5%. Shelter +0.1%, about two-thirds of the monthly all-items increase; food +0.1%; energy −1.5%.
Core CPI	+0.2% m/m · +2.5% y/y	in line	From 2.6% — the lowest core reading since February.
FED — SPEAKERS AND PRICING			
Hammack (Cleveland)	**hawkish**	—	"It's really critical we act now to bring inflation back to the target level." On the soft prints: "I don't have confidence that we're going to continue to see that." Wants "some amount of restraint coming from policy." Has previously indicated multiple increases will likely be needed.
Barkin (Richmond)	non-committal	—	"Still an open question" whether the Fed needs to raise to restore 2%, or whether it is already on a path down. Noted headline PCE near 3.7%. Said "many" at the Fed feel current policy is restrictive enough. Flagged business investment as "impervious" to rates.
September pricing	**~40% hike**	~54% a week ago	Target range 3.50–3.75%, effective fed funds 3.63%. July FOMC held 9–3 with three dissents for an immediate 25bp increase. One tracker put the odds below 35% post-PPI; treat the level as approximate and the direction as well corroborated.
TONIGHT AND THE MONTH AHEAD (GMT+8)			
Fri 14 Aug, 20:30	**US July retail sales**	+0.3% m/m est	Ex-autos +0.2% est against −0.2% prior. Consensus is contested — one publisher's week-ahead carried +0.2% and a third source −0.2%. Wide error bar.
Fri 14 Aug, 22:00	U. Michigan sentiment, Aug prelim	54.1 est · 55.2 prior	Current conditions 55.0 est, expectations 55.0 est, 1-year inflation expectations 4.2% unchanged. Two widely syndicated calendars carried figures of 68.5 and 47.8 for this release; both are inconsistent with the verified July final of 55.2 and are wrong.
Wed 19 Aug, 02:00	FOMC minutes	July meeting	First look inside the 9–3 hold.
Wed 26 Aug, 20:30	**US core PCE**	—	The Fed's actual target, and where July's +6.5% portfolio-management PPI component lands. Core PCE ran 3.3% y/y in June against core CPI of 2.6% — a 70bp gap on the measure the Committee targets.

11 Geopolitics

Hormuz, day 167, and a blockade both sides now describe as indefinite. US Defense Secretary Pete Hegseth said Thursday that by rotating aircraft carriers the United States can maintain the blockade on Iranian ports indefinitely. Iran's military rejected US claims that vessels are transiting the strait, with a commander stating that no ship passes without Iranian permission. Both statements are positional rather than new, but the physical data is not: the five-day average of vessel transits through Hormuz was around thirteen as of Tuesday, close to the lowest since 12 May and roughly 90% below the pre-war daily average of 130 ships. On Wednesday, Iran's new security chief Mohsen Rezaei set out the conditions for reopening — the US ends the war and the blockade, frozen assets are released, and the wars in Lebanon and Gaza end. Reuters, citing a senior Iranian government source, reported no progress on reviving the June interim deal.

And yet crude fell 2.5%. This is the section's most important distinction. WTI settled $81.21 and Brent $87.07, both down more than 2%, on the day the IEA cut its 2026 global oil demand outlook and now sees demand *contracting* by 1.6 mb/d on the wider fallout from the conflict. Nothing about supply improved. The EIA's 11 August outlook still has roughly 5.5 mb/d of Middle East output shut in during July — more than 5% of global consumption — with production returning to near pre-conflict averages only in early 2027 and roughly 0.6 mb/d of disruption persisting through the end of that year. Brent is forecast to average $86.81 in 2026 and about $69 in 2027. A crude market falling on demand destruction while supply stays impaired is a worse macro outcome than a crude market falling on supply returning, even though the print looks identical. Maersk, which raised full-year guidance for the second time this year on freight rates and rose 8.3%, is the listed evidence that the disruption itself is intact.

THEATRE	STATUS	DEVELOPMENT	MARKET RELEVANCE
Iran / Hormuz	Day 167	Hegseth: blockade sustainable "indefinitely" by carrier rotation. Iran claims full control of the strait. Hormuz transits ~13 vessels on a 5-day average, ~90% below the 130-ship pre-war norm. Qatar describes the Iran–Oman channel as at a "critical point"; Pakistani mediators shuttling to Tehran.	Brent ~24% above pre-war. IEA cut 2026 demand; EIA sees no normalisation before early 2027. Freight rates are the transmission channel — see Maersk.
US – Canada	Deadline 19 Aug	Trade Minister LeBlanc and chief negotiator Charette met USTR Greer again Thursday, with daily negotiations in Washington. Ottawa said Wednesday it is not satisfied with the latest US offer, tabled Tuesday, which trimmed some sectoral tariffs but not far enough. Charette warned further tariffs could halt talks.	Reported scope varies between roughly $20bn and $28bn of Canadian imports. Sticking points: steel and aluminium relief, auto counter-tariffs, provincial alcohol bans, dairy quotas.
US – China	Truce holding	Bloomberg reported Thursday that US trade enforcers are deploying an AI-driven system to detect partners suspected of helping China circumvent tariffs. Reuters reported Microsoft has closed or withdrawn from at least fifteen China branches and joint ventures. The increase in the reciprocal tariff to 125% was paused for a further 90 days	No discrete escalation or de-escalation event surfaced this week. The Nvidia and AMD arrangement to remit 15% of China chip revenue for export licences remains in legal limbo with no deliveries made.

THEATRE	STATUS	DEVELOPMENT	MARKET RELEVANCE
		on 11 August.	
Korean peninsula	Exercise pending	Ulchi Freedom Shield 26 runs 17–27 August — it has not yet begun. Roughly 18,000 South Korean troops, plus personnel from eleven other UN Command states. Combined field exercises at battalion size or larger fall to fourteen from seventeen last year. North Korea launched ballistic missiles on 6 and 12 August, both into the Sea of Japan outside Japan's EEZ.	KOSPI rose 3.56% on Thursday regardless — this is not currently a market input. Context is the planned transfer of wartime operational control to Seoul.
Russia / Ukraine	Talks signalled	TASS reported Thursday that Moscow is ready to host US special presidential envoys for a further round. The impasse is unchanged: Russia wants Ukrainian withdrawal from Donbas before a settlement, Ukraine wants a ceasefire on the current line first.	The rouble weakened 1.36% against the dollar, the largest move in the currency table. Note the source is Russian state media and no independent confirmation was found — treat as a claim.

12 Overnight setup — what Asia is trading into

> **JAPAN, AGAIN — AND THIS TIME THE POLICY STORY CAUGHT UP**
>
> Nikkei futures are 69,195 against a Thursday Tokyo cash close of 68,308.59, implying a gap of roughly 1.3% into the open. That is the second consecutive session with an implied gap of this size, after Thursday's roughly 1.6%. Thursday's gap was delivered — the Nikkei rose 1.16% and the TOPIX 0.89% to a second consecutive record — but note it did not deliver in full, and the Nikkei closed at 68,308.59 having traded 68,799.71.
>
> What is different this morning is the policy overlay. Bloomberg reported Thursday that the Japanese government supports a faster Bank of Japan rate hike, with Prime Minister Takaichi's administration favouring a near-term move, likely September or October. The policy rate is 1.0%, held in July after a 25bp increase in June, and the July Outlook lifted the FY2026 GDP projection to 0.6% from 0.5%. Set against that: dollar-yen is 159.50, the yen having surrendered the firmness it showed twenty-four hours ago, and there is a live intervention question — Goldman Sachs is quoted describing a $1 trillion war chest, and a recent intervention is being characterised as having bought time rather than fixed anything.
>
> So Tokyo opens into a 1.3% gap, a government publicly pushing its central bank to tighten faster, and a currency at 159.50 that keeps refusing to strengthen. Those three things cannot all persist. A hawkish BOJ repricing that finally moves the yen would be the single most disruptive event available to this equity gap, and it is now a September–October question rather than a hypothetical.

The rest of Asia is a semiconductor story, and it is a strong one. Korea was the standout: the KOSPI rose 3.56% to 6,813.34, its fourth consecutive gain, on SK hynix +5.92% and Samsung Electronics +4.89%. Taiwan added 1.11% with MediaTek +5.23% and Delta Electronics +5.31%, on turnover of NT$1.05trn against NT$858.7bn the prior session. Kioxia rose 3.87% in Tokyo. That is the same memory and AI-hardware bid that took SanDisk up 13.67% and Western Digital 8.70% in New York — Asia traded it first and America confirmed it. China was the exception: Shanghai fell 0.50% and the Hang Seng 0.17%, with the CSI 300 down 0.57%.

MARKET	CLOSE (THU)	CHANGE	NOTE — ALL LEVELS ARE THURSDAY CLOSES CARRIED FORWARD
ASIA — THURSDAY 13 AUGUST CLOSES			
Nikkei 225	68,308.59	▲ +784.53 / +1.16%	Third consecutive gain. Ranged 68,006.17–68,799.71 and closed 38% up range — it did not hold its high. Futures now imply a further 1.3% gap up.
TOPIX	4,176.04	▲ +0.89%	Record high, second consecutive session. The broader Japanese measure is doing what the NYSE Composite is doing in the US.
KOSPI	6,813.34	▲ +234.30 / +3.56%	The strongest major index anywhere on Thursday. Fourth consecutive gain. SK hynix +5.92% to KRW1,593,000, Samsung +4.89% to KRW268,000. Earlier regulatory limits on single-stock leveraged ETFs and falling margin debt have reduced forced-unwind risk.
Taiwan TAIEX	46,021.48	▲ +503.41 / +1.11%	TSMC +0.83% to NT$2,435, MediaTek +5.23%, Delta Electronics +5.31%. Turnover NT$1.05trn against NT$858.7bn.
Hang Seng	25,396.51	▼ -43.66 / -0.17%	Hang Seng Tech +0.3%. Flat-to-lower while the rest of the region rallied.
Shanghai Composite	3,926.96	▼ -19.71 / -0.50%	CSI 300 −0.57%. China was the only major Asian market meaningfully red.
ASX 200	9,188.50	▼ -20.90 / -0.23%	Dragged by the same miners that hit London. Copper and gold both lower.
Sensex	78,079.96	▲ +113.61 / +0.15%	Snapped a two-day losing streak. But the Nifty 50 fell 0.16% to 24,395.85, a third consecutive decline — the two indices disagreed. Nifty Metal −1.05% was the worst sector.
Straits Times	5,720.05	▼ -0.70 / -0.01%	Unchanged to a rounding error.
Jakarta Composite	6,301.77	▼ -72.08 / -1.13%	The weakest market in the region.
EUROPE — THURSDAY 13 AUGUST CLOSES			
FTSE 100	10,772.67	▼ -60.48 / -0.56%	Fourth consecutive decline, and it was entirely the mining complex: Antofagasta −6.78%, Fresnillo −5.07%, Rio Tinto −4.72%, Anglo American −3.5%, Endeavour −4.2%. Shell −1.2%, BP −1.7%. Banks were the best sector at +0.9%.
DAX	26,299.74	▼ -31.33 / -0.12%	Marginally lower, holding within 1% of its 52-week high of 26,573.50.
CAC 40	8,650.56	▼ -24.38 / -0.28%	Third consecutive decline.
Euro Stoxx 50	6,545.47	▲ +11.48 / +0.18%	The only major European index higher. Travel and leisure +0.6% on the lower fuel-cost outlook.
UK Q2 GDP	+0.4% q/q	in line	From +0.6% in Q1; +1.2% y/y. June monthly GDP +0.3% beat, with May revised to 0.0%. Services +0.5%, construction +0.3%, production flat. June industrial production −0.2% m/m and manufacturing −0.5%.
AMERICAS			
S&P/TSX Composite	36,759.29	▲ +97.15 / +0.26%	Record close, on technology, despite the gold miners. Canada set a record while its trade negotiation runs to a 19 August deadline.
IPC Mexico	64,826.39	▼ -929.58 / -1.41%	The weakest major index anywhere on Thursday.

13 AI watch

The financing layer is now the story, not the compute layer. Two facts from Thursday make the point. First, three consecutive AI-infrastructure companies reported good numbers and were sold on margin and capital intensity — Cisco’s gross margin down 210bp on memory cost inflation, Coherent’s operating cash flow down 87% against capex up 150%, Applied Materials down about 5% after hours on a beat with a raise. Second, the capital structure supporting the build is being rearranged in public. Nvidia’s 10 August announcement — memoranda of understanding with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs and KKR to establish platforms mobilising over $500bn of third-party capital

— is not Nvidia spending money. Each firm independently underwrites financing for Nvidia's *customers*, so hyperscalers and labs can build without using their own balance sheets. Jensen Huang has described his chips as an "investable asset." Nvidia's five-year CDS has since widened the most in two weeks.

A correction worth making explicitly. A widely circulated headline describes this as Nvidia's "$5 billion funding plan," including on a Bloomberg video segment featuring Hedgeye's Felix Wang that Hedgeye itself has been promoting. Every primary source, including Nvidia's own newsroom, describes the programme as **$500 billion** — the $5bn figure appears to be an error in a video title, and it has propagated. There is a genuine $5bn Nvidia item, but it is separate and older: on 27 July Nvidia agreed to invest $5bn in Ilya Sutskever's Safe Superintelligence, which also gains access to the Vera Rubin platform. Wang's substantive read is worth keeping: competition has shifted from compute to financing, and by lowering customers' cost of capital Nvidia widens its moat without cutting GPU prices — while tying future demand to credit conditions and pulling forward overbuild risk.

ITEM	WHEN	WHAT	WHY IT MATTERS
CAPITAL AND CONSOLIDATION			
Nvidia financing platforms	10 Aug	MoUs with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs and KKR to mobilise over $500bn of third-party capital for Nvidia's customers.	Moves the constraint from chip supply to credit availability. Nvidia five-year CDS widened the most in two weeks.
Anthropic / Decart AI	12 Aug	In talks to acquire Decart AI for roughly $6bn — real-time generative video, world models, GPU optimisation. Team would join the inference organisation. Early stage.	Inference efficiency is the margin lever for every model provider. Reported by Bloomberg; could fall through.
Vantage Data Centers	—	Silver Lake and DigitalBridge exploring an IPO at roughly a $100bn valuation raising about $10bn; a sale is also under consideration.	Involved in the Wisconsin campus tied to the Stargate build. Would be the largest datacentre listing to date.
Cognition	—	Early talks at a $40bn+ valuation, more than 50% above its recent mark, on roughly $1bn of annualised revenue.	Coding agents are repricing faster than the infrastructure serving them.
Intel	10 Aug	$15bn underwritten common stock offering, plus a $2.25bn greenshoe.	INTC rose 3.60% to $104.58 on Thursday and is up 323% over 52 weeks.
SILICON AND BUILD-OUT			
TSMC	11 Aug	5.5x reticle CoWoS in mass production supporting up to twelve HBM4 stacks; yields above 98% on certain AI chips. Targeting 14x	Advanced packaging remains the physical bottleneck. Directly relevant to Applied Materials' advanced-packaging order commentary.

ITEM	WHEN	WHAT	WHY IT MATTERS
		reticle by 2029.	
Larsen & Toubro / Together AI	—	AI infrastructure order worth up to roughly $1.57bn for a Chennai campus with about 10,000 Nvidia B300 GPUs.	Billed as India's largest single-cluster AI installation. The build is genuinely globalising.
Kioxia / SanDisk	—	Ninth-generation 2Tb QLC 3D NAND; interface speed to 4.8 Gb/s, up 33%.	The memory supply response that is simultaneously the cost problem for system assemblers.
Lenovo	—	Record Q1: revenue $26.9bn, +43% y/y; AI-related revenue up roughly 60%; AI now about 35% of total.	Demand at the device and server layer is not the issue. Margin is.
MODELS, REGULATION AND LITIGATION			
Grok 4.6	12 Aug	Released by SpaceXAI. Optimised for long-running agents, coding and multi-step tasks; matches GPT-5.6 Sol on the Artificial Analysis Intelligence Index. $2/M input, $6/M output.	Frontier parity at roughly a third of prior pricing continues to compress the inference margin pool.
Meta Muse Glimmer	—	30B-parameter dense multimodal model, Apache 2.0, 131K context, 100+ languages, tuned for local agentic tool use.	A genuinely open licence at that scale pressures the mid-tier commercial API market.
Meta youth-harm trial	12 Aug	Jury selection began in Oakland; opening statements 18 August; roughly seven weeks of trial. Brought by around thirty state attorneys general. Four states — California, Colorado, Kentucky, New Jersey — are seeking approximately $1.4trn in penalties against a market cap just above $1.5trn.	Meta rose 2.80% on Thursday and trades on roughly 22x — the multiple is not pricing an existential outcome. The bear case is not a single verdict but a drip of adverse findings, punitive risk and forced product changes. Meta booked $2.4bn of legal charges in Q2. Precedent: a March 2026 California jury found Meta and YouTube liable in a bellwether case, and the Ninth Circuit has allowed 3,000+ suits to proceed.
IBM / OpenAI	—	Partnership embedding GPT-5.6, Codex and ChatGPT Work into IBM Consulting Advantage.	Distribution, not capability. The consulting channel is where enterprise adoption is actually being sold.
EU AI Act	2 Aug	Article 50	The postponement is the market-relevant part — the expensive

ITEM	WHEN	WHAT	WHY IT MATTERS
		transparency obligations took effect; fines up to €15m or 3% of worldwide turnover. High-risk obligations postponed to 2 December 2027.	tranche is two years out.
DeepMind	—	Demis Hassabis pushing for an independent industry AI oversight body, raised with Treasury Secretary Bessent and White House tech adviser Kratsios.	Industry-led standards are the alternative to statutory rules. Worth tracking for anyone underwriting regulatory risk.

14 Beyond the markets

A halving nobody is talking about. Bitcoin sits at $63,528 this morning, 49.7% below its 52-week high of $126,198. Ethereum at $1,889 is 61.9% below its own high of $4,954. In the same twelve months the S&P 500 has gone to a record, the Russell 2000 has gone to a record, and the NYSE Composite and the equal-weight S&P have made 52-week highs. A risk asset halving in price while every equity measure makes new highs is the single largest dispersion in this brief, and it has been almost entirely absent from the commentary. Hedgeye's Crypto Quant on Thursday framed it as spot stalemate, ETF trickle and seller exhaustion that is *almost* complete. Both bitcoin and ether were fractionally higher overnight, +0.26% and +0.68%, on ranges of less than 1.5%.

A structural note on the Fed that is not about rates. Kevin Warsh is Fed chair, having succeeded Jerome Powell when the chair term ended on 15 May. Powell has remained on the Board as a governor — the first former chair to do so since 1948 — stating he will stay until he is confident the institution has withstood the pressure on its independence. The surrounding context includes the attempt to remove Governor Lisa Cook and a Department of Justice investigation of Powell. None of this moved a price on Thursday. All of it is the reason the 30-year will not fall, and any framework that models the term premium purely off inflation expectations is missing the larger half of the variable.

Two things worth reading past the headline. First, the CPI–PPI spread. PPI at +4.7% year-on-year against CPI at +3.4% is a 1.3 percentage-point gap, and gaps of that shape historically resolve through corporate margin rather than through consumer prices. Every AI-infrastructure margin disappointment this week — Cisco, Coherent — is a specific instance of the aggregate. Second, the July federal deficit of $432.0bn against $346bn expected, the largest monthly deficit since 2021, lands on the long end as supply. Combine that with a Committee split 9–3 and a chair offering no forward guidance, and 10s30s at a cycle-high +57bp stops looking like a puzzle.

And one that is simply odd. DocuSign rose 8.2% in the regular session and a further 9.8% after hours to $64.09, on no identifiable company catalyst — it does not report until 3 September. UiPath rose 9.31%, Wix 16.45%, McGraw Hill 16.98%. A broad, unexplained bid across mid-cap software on the same day Silver Lake was reported in talks for Workday and Thoma Bravo agreed to buy Accelerant. Software has spent 2026 as the funding source for the AI trade. Thursday looked like the first session in which somebody decided it had become cheap enough to bid on the possibility that private capital agrees.

15 Appendix — stock cards

Nine names that carry Friday's information. Levels are Thursday 13 August closes unless stated.

NAME	CLOSE	CHANGE	THE CARD
Applied Materials AMAT	$534.54	▼ -2.48%	BEAT AND SOLD. Revenue $9.12bn (+24.8%, record) vs ~$9.00bn est · Non-GAAP EPS $3.50 vs $3.39 · GAAP operating income $3.08bn (33.7% of revenue, record) · SemiSystems operating margin 38.0% from 33.2% · China 28% of revenue from

NAME	CLOSE	CHANGE	THE CARD
			35% · Cash from operations $3.04bn, $860m returned · Q4 revenue guided $10.25bn, above consensus · 2026 equipment growth outlook raised to >30% · management points to another strong growth year in 2027. Fell ~5% after hours to ~$508 having fallen 2.48% into the print. Options priced ~11%. 52-week range $154.47–$739.67.
Cisco CSCO	$113.58	▼ -8.31%	THE MARGIN, NOT THE ORDERS. FQ4 adj EPS $1.22 vs $1.17 · revenue $17.25bn (+17.6%) vs $16.83bn · Q1 FY27 revenue guided $18.0–18.2bn vs ~$16.75bn consensus · FY27 revenue $72.2–73.4bn vs ~$68.7bn · $7.5bn FY27 AI infrastructure revenue · $4.0bn AI orders in Q4, $9.3bn FY26 · Acacia optics another $1bn quarter. And: non-GAAP gross margin 66.3% from 68.4% on AI hardware mix and memory cost inflation. That one line cost 8.31% and roughly 68 Dow points.
Workday WDAY	$206.45	▲ +17.78%	THE BID FOR CHEAP SOFTWARE. Reuters exclusive: Silver Lake in talks to acquire, market value roughly $43bn. Would rank among the largest software buyouts ever and among Silver Lake's largest tech investments; co-investors possible. Talks ongoing, no certainty. Context: the stock was down about 15% year-to-date and more than 40% below its 2024 peak before the report. Intraday high $220.50.
Reddit RDDT	$158.12	▲ +3.04%	COMPULSORY FLOW, LIVE. S&P Dow Jones Indices announced after Thursday's close that Reddit replaces AvalonBay Communities in the S&P 500 before the open on Tuesday 18 August, AvalonBay having been acquired by Equity Residential. Rose a further 11% after hours. Becomes the second pure-play social media name in the index after Meta. Announced the same day Hedgeye's Early Look argued the market systematically underprices index-inclusion flows.
SanDisk SNDK	$1,528.11	▲ +13.67%	THE COST LINE THAT IS ALSO THE TRADE. Investor Day FY28–FY30 model: mid-to-high-teens revenue growth · ~80% non-GAAP gross margin · ~75% non-GAAP operating margin · ~50% adjusted FCF margin · 100% of excess cash returned. Anchored on new-business-model agreements with eight customers covering ~50% of bits in FY2027 and ~two-thirds in FY2028. Up 466% year-to-date. Dragged WDC +8.70%, SK hynix +8%, Micron, Lam, Seagate and Teradyne with it.
Coherent COHR	$328.25	▼ -7.70%	CAPEX ATE THE BEAT. FQ4 adj EPS $1.74 vs $1.61 · revenue $2.05bn vs $1.99bn · datacom and communications $1.615bn (+59%) · Q1 guided $2.2–2.4bn. The 8-K line that mattered: FY26 operating cash flow $79.5m, −87.5% y/y, against capex $1.103bn, +150.2%. The second AI-infrastructure beat sold in two days.
Cellebrite CLBT	$10.80	▼ -29.18%	GUIDANCE PLUS GOVERNANCE. Q2 adj EPS $0.11 vs $0.07 but revenue $131.1m missed $131.9m · FY26 ARR guidance cut to $550–560m (+14–16% growth) from prior · Q3 growth guided 19.5%, FY26 ~15% · EBITDA goal raised. And a CEO change effective immediately: Shiven Ramji replaces Thomas Hogan. A guidance cut with a same-day leadership change is rarely priced as two separate events.
Accelerant ARX	$19.51	▲ +43.35%	Thoma Bravo to acquire, all cash, above $4bn. The largest single-session move on the US tape and the third private-capital bid disclosed in one day. Note the stock is still down about 52% over 52 weeks — the premium is being paid on a broken listing, not a strong one.
Nebius NBIS	$255.00	▼ -1.62%	RECORDED FOR ACCURACY. Three outlets published −1.6%, −4.1% and −14% for this close; the exchange print is −1.62% at $255.00. Wednesday's +34.1% followed Q2 revenue of $582.3m (+454%) with AI Cloud at $574.9m (+514%) and adjusted EBITDA of $285.7m. Bear points in circulation: an asset-light pivot, a $20–25bn 2026 capex guide, and more than $140m of insider selling over 90 days. Michael Burry disclosed an increased short on Wednesday.

SOURCES AND STANDING CAVEATS

Hedgeye research read in full via a logged-in app.hedgeye.com session: Early Look "Play The Hand You're Dealt" (Brooks Cutright, 13 Aug 07:17 ET) including the complete sixteen-line Risk Range table; Crypto Quant (13 Aug 09:01 ET); Chart of the Day title only, the item itself being above this account's subscription tier. Market levels from public exchange-reported closes and live vendor marks captured 06:05–06:35 GMT+8 Friday; the US Treasury curve is the Tullett Prebon 17:00 ET set. Macro data from the BLS and Department of Labor primary releases. Company figures from company releases, SEC filings and wire reports as cited in text.

Three figures in wide circulation are wrong and are corrected in this brief: the VIX did not fall 4.78% to 14.55 on Thursday (that is Wednesday's print — it rose 0.55% to 14.63); Nvidia's financing programme is $500bn, not $5bn; and two syndicated calendars carry University of Michigan consensus figures of 68.5 and 47.8, both inconsistent with the verified July final of 55.2. Items that could not be independently verified — the drivers behind Resideo, Liftoff Mobile and Bending Spoons, the exact September hike probability at Thursday's close, and the retail sales consensus — are flagged as such where they appear rather than smoothed over.

Heyokha Brothers · pre-market brief · information only, not investment advice · verify before acting.